WORKSHEET · GO-TO-MARKET

Build a TAM investors actually believe

Nine steps, each with the questions to answer and the boxes to tick. Built bottom-up: accounts you can count × prices customers really pay.

How to use it

Answer every question in writing. Can't answer one? That's your next research task. Tick a box only when the evidence is written down.

STEP	ASK YOURSELF	TICK WHEN DONE
01 **Define the problem and buyer** Can't describe the market in one sentence? Then you can't count it.	What specific job does the product do, and for whom? Who signs the contract, and who uses it daily? What do buyers use today instead?	☐ One-sentence market definition written ☐ Economic buyer and end user named by job title ☐ Current alternatives listed
02 **Segment the market** Segments differ on price and buying motion, so size each one.	Which company sizes feel the problem most? Which industries and regions can we sell into today? What trigger says a company needs us now?	☐ 3–6 segments defined by size, industry and region ☐ Trigger or tech-stack filters added ☐ No company sits in two segments
03 **Choose the method** Lead bottom-up. Use the others only as cross-checks.	**Bottom-up** · accounts × realistic ACV. Your headline. **Top-down** · analyst market × your share. A sanity check. **Value-based** · value created × share you charge. New categories.	☐ Bottom-up chosen as the headline figure ☐ One other method lined up as a cross-check
04 **Count the accounts** Count companies with the problem, not every company.	Which data source counts each segment best? Do two sources roughly agree? Are we counting only companies that have the problem?	☐ Account count recorded per segment ☐ Filters and source saved so anyone can reproduce it ☐ Count cross-checked against a second source
05 **Set a realistic ACV** Use what customers actually pay, never list price.	Pricing unit: seat, employee, usage or tier? What does a typical customer pay after discounts? Are we including expansion, and is that stated?	☐ ACV set per segment from real deals or competitor pricing ☐ Plan mix and average discount factored in ☐ Expansion assumption stated or excluded

Continued overleaf · 1 / 2

06

Calculate TAM

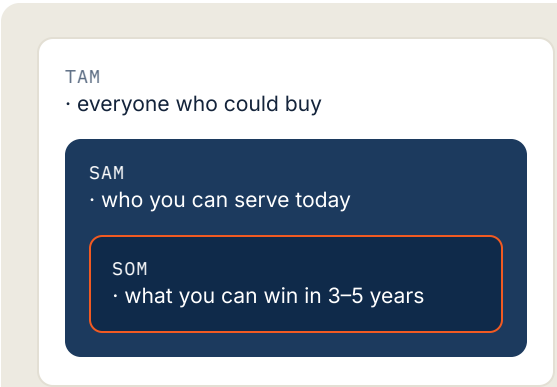
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TAM = Σ (Accounts × ACV), summed across segments
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SEGMENT	ACCOUNTS	ACV	TAM
e.g. 50–200 staff, EU, hiring abroad	*12,000*	*$8,000*	*$96M*
Total TAM			

- [ ] Every segment has an account count and an ACV
- [ ] Totals add up with no double-counted accounts

07

Narrow to SAM and SOM



- [ ] SAM exclusions listed (region, compliance, integrations)
- [ ] SOM tied to sales capacity and win rates

08

Triangulate

A TAM 10× the category leaders' combined revenue is a red flag.

Is bottom-up within range of top-down?

What do the category leaders earn combined?

Do comps or competitor rounds back the size?

- [ ] Compared with a top-down source
- [ ] Gaps over 3× explained or the model fixed
- [ ] Competitor revenue used as a reality check

09

Document and stress-test

Show your working so the number survives scrutiny.

Which two inputs move the result most?

What if ACV drops 20% or accounts halve?

Who owns the model, and when is it refreshed?

- [ ] Every assumption listed with its source
- [ ] Low, base and high cases calculated
- [ ] Owner and refresh date set

Red flags

Fix any of these before the number goes in a deck.

- × Headline is a whole-industry analyst figure
- × Counted every company, not those with the problem
- × ACV based on list price
- × Accounts sit in more than one segment
- × TAM and SOM presented as the same number
- × Nobody could reproduce the account counts

Your score

Count the boxes you ticked in steps 1–9 (24 in total).

21–24 **Investor-ready.** Defend it with confidence.

13–20 **Solid base.** Close the gaps you skipped.

0–12 **A hypothesis,** not a market size yet.

Want a second pair of eyes? Send your worksheet for a free review of your segments, ACV and SOM logic.

Book a free TAM review →

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